Most traders in the stock market are more of a gardener and a little bit of a warrior.

The gardener — looking at profit screenshots of other traders, running behind a Holy Grail system, attending trading workshops one after the other.

The warrior — shortlists one trading system, picks the right trading instrument, looks at the returns in terms of ROI, and executes the plan with minimal emotions.

When a person is ready to fight the battle, he should know the weapons allowed and how to use them. If he develops skills to use all these weapons, then there is a high probability of winning the battle.

In the same manner, traders should know what trading instruments are available in the market. Because trading is a battle and your trading instrument/strategy is your weapon.

So a deep understanding of trading instruments will help traders survive the game and eventually make money in trading.

3 Instruments in Trading

We have below three trading instruments in the stock market:

1. Equity
2. Futures
3. Options

So, a trader should know how these trading instruments work. Let us take an example to understand them better.

Assume one Trading Account has Rs. 385,000 (3.85 Lakh).

Infosys Current Market Price CMP is 1615.

Assume Infosys went 5% (81 points) up in the next 2 trading days. (For explanation sake)

<u>Case-1: Equity</u>